

dollars in these bonds at those prices with no difficulty. Buying at 30 cents gives us the following ultra-conservative odds:

Odds of receiving a \$1 in 2009 and 30+ percent interest from 2002-2009	50 percent
Odds of getting \$0.19 back (loss of \$0.11)	45 percent
Odds of a loss of \$0.24	2 percent
Odds of a total loss	3 percent

These, too, are mouthwatering odds and Kelly suggests betting over 86 percent on this ultra-favorable wager.

FRONTLINE

One of the most vivid examples of Wall Street's inability to distinguish between risk and uncertainty is the trading pattern and pricing of Frontline's stock (FRO) in the third quarter of 2002. One of the lists I scan periodically is Value Line's weekly listing of stocks with the highest dividend yields. Usually, there are, at most, a handful of businesses sporting yields of 10 percent to 12 percent. A high dividend yield is sometimes indicative of a stock being undervalued. So, like low P/E or 52-week low lists, it's a worthwhile screen.

In 2001, I noticed there were two companies with a dividend yield over 15 percent.⁵ Both were in the crude oil shipping business. One was called Knightsbridge (VLCC). I knew nothing about the oil shipping business, but was curious to find out more about the industry and why these businesses